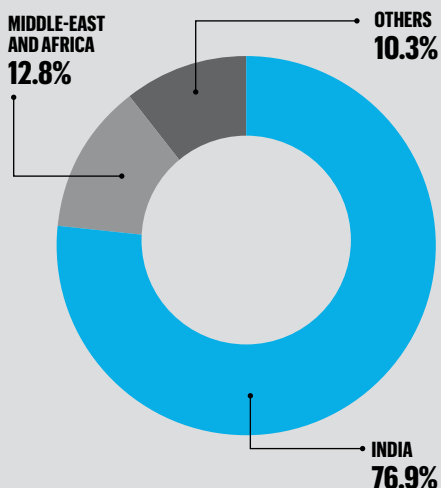


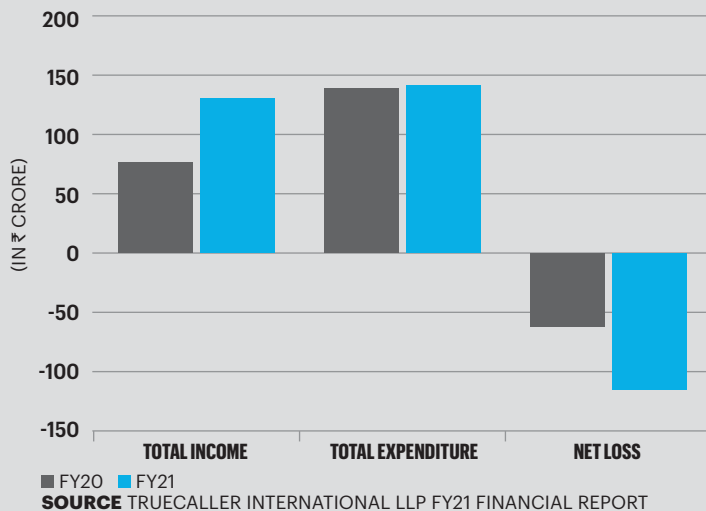
## BIG BITE

Truecaller's revenue distribution by region in January-June 2022



## A GAME OF NUMBERS

Truecaller's Indian subsidiary has posted a net loss in both FY20 and FY21



further states, “When the taxman comes knocking, Truecaller is a loud and proud Swedish company. It bills almost exclusively from Sweden from advertising customers/agents despite substantially all operations being in India.” The report further states that they believe that Truecaller has failed to adhere to transfer pricing principles and is avoiding higher tax rates in India. It then adds that “It pays taxes almost exclusively in Sweden. This is despite all processing risk and operations being carried out in India.” Meanwhile, Truecaller’s Indian subsidiary, in its audited report for FY21, stated that “The LLP is in the process of conducting a transfer pricing study as required by the transfer pricing regulations under the IT Act to determine whether the transactions entered during the year ended March 31, 2021 with the associated enterprises were undertaken at [an] ‘arm’s length price’.”

Globally, the free-to-use app earns nearly 84 per cent of its revenues from in-app advertising. “Truecaller ads have been a gateway in helping brands reach out to millions of users in a short amount of time. It is unobtrusive and will never take over your phone screen,” says Mamedi about the app’s advertising business. A smaller revenue stream is its Gold and Premium subscriptions, priced at ₹4,999 per annum and ₹549 per annum,

respectively, in India. Premium subscriptions allow users to use the app without ads and unlocks features like advanced spam blocking and contact requests among others, while a Gold subscription gives them all that and makes them eligible for a gold badge and priority services.

Last year, the company also forayed into its third revenue stream, ‘Truecaller for Business’, to help businesses connect with their customers in a more trusted and efficient manner. For a monthly call volume of 50,000, the app charges businesses ₹15,000-19,500 per month depending on their requirements. “The solution allows businesses to verify their identity by adding the correct name, brand logo and a green caller ID. This is especially important because a lot of scammers now try to impersonate brands. There is high potential for this, not just in India but in any market where there is a need for businesses to make a trusted connection with potential and existing customers,” says Mamedi.

For now, Truecaller for Business has over 1,000 active business customers across 33 countries. “We are seeing traction across categories of businesses with use cases around service, support and fulfilment, ride hailing, logistics and delivery, marketing, sales, security and fraud management,” he adds. Business owners can create their profiles with in-